

I think we're live now. Hello, everybody. This is Daniel here from the FMCG guys for another, live session. We're getting used to this.

I like the habit. I'm actually connecting live from Amsterdam today. This is not my house. I wish it were, but I'm connecting from beautiful Amsterdam sitting actually, standing next to Canal, which you can actually see on my screen, which is making you a bit a bit jealous.

And I'm accompanied by my colleague well, colleague, adventure companion in the podcast, Christine Nicola. How are you?

Hi, Danielle. Adventure companion and friend. I'm doing very, very well. Not close to nice canal, just at home in Athens. Very cloudy.

Very cloud well, you know, here today has been amazing. I was just meeting with one of the guests that we had recently on the podcast, Rucha Rossendal from from Vegetarian Butcher. We're sitting outside getting a bit of a tan.

And, yeah, getting ready for this webinar. I needed to bake a good tan before going going live. Right?

So Of course, you did.

Right? So this is the third of the webinars that we've done with Nielsen IQ, and and they've all had the same cohost, which has been Salim Bachetin. How are you?

I'm very good. From Boston today, beautiful Boston. So, yeah, very happy to be here, and the topic is amazingly important. So I'm glad that we're gonna talk, and I'm glad to have Boris, of course.

Boris is a return guest on the podcast. He was on the podcast. Was it Boris on in twenty twenty three?

Twenty three?

Yes. I think it was even even twice we did a did a recording. Right? The first one, I think, I remembered was on talent and what's needed in order to evolve in in digital commerce, I believe. And it's three years ago.

There's a there's a funny story there that I went to record another podcast with Henkel, and I told Boris, I think, the day or the day before, hey. Do you want to record a podcast with me? And we kind of went there unprepared, but I think it went very well. So so it's a repeat repeat guess. I think that's a good sign already.

Yeah. No. I enjoyed it a lot. And, also, I'm very excited to be here as well.

Well, Danny, I don't have the same beautiful view as you have on the canal. I'm sitting in Dusseldorf, and it's not cloudy. We actually have the sun, but had to lower the shades. I'm sitting in a phone booth in the office.

But very excited about the topic today.

Yeah. Totally. Like, why I'm gonna ask you, Christina, first of all, like, why do you think that the topic today, which reminder is commerce data? So, actually, in the first in the episodes that we've done with Nielsen IQ, we've talked about retail media incrementality, then about the GenDick shopping. Now we're talking about data.

Is it is it why is it important, Christine? Is it maybe then the non sexy part of ecommerce?

The non sexy part of Well, of everything, I would say, because you need to keep in mind that data goes through the whole value chain, right, and not just what goes through e com. I was looking at a little graph the other day, know, like, how do they call it, like, a sketch, and it had, like, an iceberg with the LT looking at the tip of the iceberg and go like, AI. Yes. This is going to save everything. Let us go full lane. And

then underneath the iceberg, you had all the infrastructure that's actually needed and the people kind of, like, on a submarine trying to fix the basis that was very, very, let's say, unstable.

And that's all the infrastructure. Like, this is as we say for AI, it's BS in, BS out, and no one cares about fixing the in part because it's not sexy. So I think it's the most important thing to understand what is the need and the fundamentals. And, of course, as we're moving more towards the digital on the commerce side as well, it's crucial to even be able to deliver your business.

Totally. Well well, let's go into it. I think, Christine, from the split of questions that we have that we prepared what that you prepared before the session. You have the first question.

I do. And that's on Boris, actually. And we haven't really introduced him properly with his title.

Oh, that's true. You're right. You're right.

So first of all, Boris, would you like to first. Would you like to tell the audience what you do?

Yes. Thank you. So, look, I'm working for Henkel Consumer Brands. We are managing brands in laundry care and hair, home care. Probably some of the known ones are Schwarzkopf or Persil, all in the US. And I'm leading the global ecommerce, the digital commerce team.

Fantastic. And you're leading ecommerce, and yet here you are talking about data.

Would you like to tell everybody why is, for you, data important, and what do you do?

I think I've been around ecommerce for quite a while. And what I remember that in the beginning, six years ago, a lot of people were shying away from the data topic because simply it wasn't available.

When you think about data in an offline environment and the big providers like Nielsen or Sikana, offline data has been structured. It has been at people's fingertips. But in digital commerce, it simply hasn't been there. So what I've experienced is that a lot of teams and were making decisions based on gut feel.

And I'm a strong believer in, you manage what you measure. Yeah? So I always wanted to move away from that gut feel into more data driven decisions. And you can only make this if you have a strong data foundation.

By the way, let me do some housekeeping since we're doing it live. Since we have a live audience, if anyone wants to ask a question, please write it in the comment section. We will reply it either during the conversation if we feel like it's relevant at the moment, or we can also do and at the end, we'll do some q and a as well.

Salim Before you go just before you go in, I just wanted to jump in to Boris' comments.

So I think Boris was the first person ever that challenged us on the data. And and I think that's why, like, the the the the topic today and having Boris with us is is incredibly insightful. Because I remember at the time, no one was caring about this.

Like, the granularity, the cleanness, the the fact that the data was structured.

And these were, like, super interesting conversations we were having six years ago where everyone was not there. So I think, you know, I think now six years after with the the emergence of AI and so on and so forth, this is where this topic becomes super, super important, and that's why I think it's it's gonna be a good conversation.

Do you guys do you guys feel like you've been vindicated?

No. It's it's so it's hard to bring a topic that is not super attractive because it's messy. It requires hard work.

It requires attention. It requires resources.

It requires, like, so many different things. Obviously, like, it's so much easier to kind of keep it, like, marketing in a way, not, like, being bad to the marketing people. But, like, this is, like, a topic where you have to be a bit nerdy in a way, which I am.

And and you know? So I think over time, we evolved a lot, though. So I think Boris, with a lot of the top leadership, we did too on our side.

I think we kind of brought a little bit the industry in a place where we're taking a little bit more care about these things, which is an interesting place to be as we go through the AI revolution.

Yeah. You know, I remember, I think, Sam, you're you're totally right. And maybe it's because a bit of my background. I have not always worked in a digital role.

So I I I was key account manager, and I worked in global trade marketing. And I've always relied on data. So every decision we were making whether we should do a promotion or not, it was based on data. Then I moved into this ecommerce role, and I was like, okay.

How do I make the decision? And that was also when we got to know each other. So and that's why I challenged a lot, because I wanted to to to get the data in order to make the right decision, in order to make the business grow.

And, actually, also, offline, it's not that different. So when I remember one of the big, topics we discussed, distribution in an offline environment is important availability of

the products.

And, I think you guys were one of the first to actually also looking at, in an online environment at store level with this project in in France, I remember. And it has a huge impact if you improve the availability on shelf in a digital environment. We generated millions of incremental revenue, which we could measure. And it's not that much different in an offline revenue. If you're increasing your distribution, which is your availability, you do the same. So I think this is what I particularly like, that the experience from what has worked to manage a business offline can also work to manage a business on the digit set if you have the right data available.

And and, Salim, when we were preparing for this webinar, I remember we talked about we called it making commerce data AI ready. And I asked you, like, why don't we just call it making data AI ready? And you said, wait. Wait. Wait. There's a difference between data and commerce data.

What's the diff like, what specific about commerce data? And, you know, why is that important ultimately?

So first of all, the reason is I wanted to make sure we attract the right people to the to the to the event.

But I think so if we focus on on digital and like, a lot of this Boris covered in the previous question.

There was no data, like, really no data. And some of the data was very what like, too far from reality to be trusted.

So he mentioned the example on the on the distribution.

And and I like the the example you gave Boris because I think what you brought is the discipline of the offline world that has been established over decades of work into

something like super new, which was kind of establishing few years ago. And so we moved from a world where there was no data, then we started to kind of see some data.

And when we started to see some data, there were some challenges that came with it.

First one is the granularity. Like, what are we talking about? If we talk about distribution on an omnichannel retailer, if you don't go down to this to the to the ZIP code or to the postcodes, you're not doing anything interesting.

So you just kind of take in a sample that most probably is not a good representation of the story. Then you start to ask yourself, like, why am I buying this data?

And and I'm sure a lot of people would agree, we buy data to take actions.

Like, you measure, and then you take actions. And there is no way to create actions in digital world and, I guess, in the offline world also if you don't go down to the SKU level.

Then the next step is when you get the data, you want to ingest. You want to enrich the data. You want to enhance the action or the activation, and that requires cross referencing. And as soon as you want to cross reference, you need the data to be structured, labeled, coded.

And these are the things, sadly, we didn't talk about at all.

So it was incredibly hard five, six six years ago to put those topics on the table.

And I'm super excited because in the last six to twelve months, it became important. Because now we, like, we know that if we wanna apply an AI agent to extract faster insights, if I wanna cross reference, if I want this data to sit well in my data lake, it has

to have, like, certain requirements. And and in my point of view, what we lack in the industry is probably a referential. Like, you know, I don't know who can do that, but some sort of standards.

Like, how do you measure search? What is the minimum viable way of measuring search? What is the minimum viable way of measuring availability? Same for content.

Same for sales. Same for, like, sales if they're estimated, obviously.

So I would say the difference, like, the difference between what we live in digital versus the rest of the world is the fact that it's still new. It's still kind of fragmented.

I always put myself in the shoes of an ecom person, like, having to toggle between different solutions, different data assets to create an insights, to report back, or to create an action, and it's horrible. So and that's really the point we're trying to kind of solve, like, not just us, but together with the with the industry.

Yeah. Full fully agree. And I think the data quality and driving actions out of it, this is the most crucial one.

Because I think what we need to do even more, looking at the data, taking an action, looking at the data again, and see if something changed. Because a lot of times, it's just looking at scorecards. You are fine. It goes up and down, but we are not really driving actions out of it.

And What I've experienced in the past, if you do so, if you look at the data, you take an action, and you see if something changed, then you also discover if the data quality is good or bad. If you if you have a certain availability score and you look all the way down to the SKU level, where do you have the issues, you improve your availability and you see changes in yourself, then you know you're doing the right thing. The data is good, and it has implication on your p and I. Yeah?



And I think this I could go on and on. This is so true for the chef search, for the content scores as well.

And I guess that the question is, like, compulsory. You know? Like, you have commerce data, then you have the rest of data.

How do you differ like, is it very different or, like, it's, like, putting one and one together?

I would love to put put one and one together. I don't know. Would it be something first, Salim?

Or if I should No.

No. Go ahead. Go ahead.

Go ahead because I have two views on this. I have my view and, like, I have the company it's like you know, it's it's very interesting question.

No. From a company view, I I can say because I mentioned I have not always worked in a digital environment. And when I think about the data availability, I was used to structured data before I moved in in to Ecommerce. And then we had to build structured data.

So this super fragmented all the different data sources, and it's a huge amount of effort to get the data in a similar structure as I was used to in an offline environment, like the categorization, all the attributes. This is hard work because it wasn't simply available off the shelf. And I think what also happened is, yes, also we as an organization and many others started to structure the digital commerce data in a certain way to work with it, to create dashboards. But at one point, you experience, you're a bit siloed.

You're talking about the same thing, like market shares. You're talking about certain execution KPIs.

But it's not the same. You have your online dashboard, your offline dashboard, and and you look at it a different way. You have business reviews because of the different dashboards, like the digital commerce part that will always be looked at at the very end, and then there's no time on the agenda because it's not integrated. So I think the the opportunity now is and I think what really is the vision have it all very harmonized through omnichannel because everybody talks about seamless commerce and omnichannel and connected commerce, you name it, but it starts with the data.

If the data is not connected, I mean, how can you be omnichannel? Yeah. So therefore, this is something we're working on a lot, and I really enjoy that AI is supporting on that one already today a lot because it's not just the agent you can talk to. It's also the AI who can help you to structure the data, and that's very exciting today.

I'm gonna give an example. I think best way to answer this question is give an example.

So We love we love examples.

The the the example is on digital shelf data, which is my kind of previous or my most of my experience is in is in digital shelf.

So digital shelf source of data is scraping, so online data.

And we spent years trying to solve the topic that Boris just mentioned.

How do you code? How do you match? How do you categorize?

And at that time, no one was doing it. And and I think still today, not a lot of players are able to do it.

And at that time, probably a lot of people were telling us that we were wasting our time.

Like, it's better to go quicker to the, like, data visualization part and just show kind of insights as opposed to, like, spend all those resources and setting a clean structured database. And our response has always been, we strongly believe that the integration and the correlation is the future. So next step of correlation for digital shelf is sales data. If you don't do that, you don't do the impact of your actions. You don't know the reasons of your performance.

So it has like, you have to have your data set ready for that. And it's really, really difficult. It's really not easy.

So we spent years and years trying to solve this challenge, and we did. And then the next level is you bring more data sets, like shopper behavior, you know, sometimes some internal data, like supply chain data, some finance data, and so on so forth. And the more that you enrich, the the more you can do. So that element on structured where so Boris comes from an offline world where everything is super structured because we had time, like, decades to set it up.

We didn't have that time in e com, so we had to work incredibly hard to get to that level of readiness. And I don't know I don't think we achieved the full potential of it yet.

I think there is yet a lot to do, but we're gonna get there as long as, you know, we achieve that topic of, like, structured, well established, coded, I know I'm talking about this product, and I have no doubt that this product is well matched across the different retailers, and I can confidently then ingest and correlate.

Hearing you speak, Salim, I'm wondering, like, on why, like, nobody has done it. I mean, like, in the past, why people didn't care? I'm thinking as you speak, like, correlation. Right? Is it a bit of, like, chicken and the egg? Because then an LT would expect you to go with the correlation and prove why you need to do the digital self because then here is the uplift on sales. Well, now we know nothing, and everybody's somehow managing, so why bother with the complexity?

So I I think the reason why not is because it's hard too nearly impossible for some some people because you need some specific technology. You need to put the attention on it.

And and then I don't wanna go into the debate of, like, the whole value chain of how techs are structured.

It's about, like, really pointing that early enough in the value chain as an important and critical component.

So back to your point about, like, presenting to LT, I think we grew up in a world where e com was known to be imperfect.

And just we just got along with it saying, you know, it's e com. It's not perfect. You know, I'm trying. I'm trying to stitch things together.

But I think AI is gonna force us to stop taking that as an excuse as an industry and and, like, doing it, really.

Yeah. So that's my personal point of view. I don't know, Boris, if if you have a different point of view.

I think this is one part. I believe the other part is you were asking, k, why was nobody doing it before? I think it's connected to how ecommerce has been treated in organizations.

Because years back, it has always been just a small portion of the total business, one percent, two percent.

And the way it was treated, so companies created small e com teams. Yeah. Okay. You take care of this e com topic.

And what The center of excellence doing it.

A little bit disconnected, and you meant it. And what happened is the share of online sales has increased. And instead of adding resources in the different teams in CMI who's managing the the data, for instance, ecommerce teams have grown. And all of a sudden, you had someone who was looking into data within the ecommerce team.

And then people have done things a little different, yeah, the way they thought it's right. And a lot of the people who moved into digital commerce had a digital background, not an offline background. So they didn't know different. So I think that is part of the reason why it has developed, in a little different direction.

So what what happened today? So this is the usual movement. You have, like, a siloed team, and then the teams become bigger as a stage two. And stage three is, okay, then organizations realize you cannot build an organization within the organization, and it starts getting back integrated.

And then you start realizing, oh, how do we integrate the data piece? And this is, I think, what, Sam, you mentioned. Therefore, things are changing because organizations are realizing, okay. It doesn't work, if you treat it silo.

You have to connect it. If you integrate the people, you also have to integrate the data structure and the data foundation.

And I think it's interesting, Boris, that you said before that you're an ecommerce leader that's not like that grew up within the business. So you were in key account

management, trade marketing, etcetera. And the, quote, unquote, typical ecommerce leader five years ago was someone that was, like, an ecommerce expert. Like, we've gone like, ecommerce was a land of experts, now it's become more land of, like, more business generalists that you could seek becoming j GMs in the future, which whereas before, it was kind of unimaginable. Yeah.

And the opposite. Right? It it's now unimaginable for a GM to not understand ecommerce.

Yes.

So it has become integral part of the experience.

Exactly. Yeah. By the by the way, for the people tuning in, which we have a few quite a few, remember, you can ask ask questions, leave your comments. You can even disagree with us, by the way, in the in the comment section.

Don't be shy. It's fine. Christine, I think you go you go next. No? I think we have Alright.

The that I have written down here is a pretty good one.

So No.

I want to go a little bit on AI. And last time, Selim, we had, like, this webinar. We're talking a lot about the role of AI in commerce and how important even the digital sell is going to be, not just for actually, like, the person, like, the human person looking through the website, but also, like, overall for machine understanding and how you're showing up. So I was wondering, like, can you explain to our audience why you won't be able to do AI as, like, a support in commerce or in insights without having the data foundation?

I'll I'll try.

And and you guys helped me, and Boris helped me. But so I think the first project I saw coming on AI, the first brief was probably twelve months ago.

And it's it was a brief very focused on the front end. Like, oh, can we set up a, you know, an agent that helps us get quick access to insights and everything and, like and and I think people were kind of demoing that side of things. Reality is, you know, agents in my point of view are pretty available today. It's not complex.

You don't need necessary to develop on your own, especially if you wanna go fast.

I think it just added so much more pressure on what you're training the LLM on.

So and and I'll tell you, like, a basic example. If if your database is not structured on UPCs or EAN, it's almost impossible to start to make, like, comparatives comparisons between the different, like, performance between different retailers.

If your dataset does not include a category coverage the way you see it as a manufacturer, it's gonna be very difficult to see set a benchmark because the LLM is not going to surface the kind of right insights.

The additional points that AI has added as pressure points is speed of delivery of the data. So structure is it's impossible because the LLM will surface wrong or hallucinations insights. So the first set is to get it right and to surface the right things is to train it on things on the database that is structured. The second point is speed.

And I see it in this way. So I think every evolution pushed us to more speed of delivery. So retail media in the past few years pushed us to deliver visibility data faster just because you need to make quicker decisions. And let's remember that you're using or most of manufacturers are trying to use AI to surface insights quicker,

but the idea is also to take actions quicker, you know, to gain a kind of competitive edge.

And I think the next level is gonna be automation of some of these actions quicker. So imagine a world where, you know, there would be, you know, agents taking actions on your behalf from content, and that's gonna happen. Like, it's not we're not talking to a section here. We're talking about a reality that is not, I think, so far from now.

So so yeah. So it added this pressure point of, like, you know, you have, like, the we we had to move from, like, monthly to weekly, years ago, then weekly to daily, and then daily to, like, multiple times a day. And when is the data delivered?

Like, you cannot deliver it days after it has to be delivered, like, next day or sometimes even same day.

That's those are, like, pressure points.

And those pressure points create another challenge and opportunity is that we were talking about structuring the data. That takes time, like, to clean, especially data that is generated and originated from online. So, obviously, you bring the challenge of, okay. You have two variables of the same equation, speed versus cleanness, if I may say. So if you increase the speed, you might lose a little bit of cleanness. And that's, I think, also where AI on the background, not, like, on a front end, could play an important role in automating all of that structuring on the fly.

And I think that's where we are kind of going as a as an industry into a world where we have the foundations. We trust the foundations are the accurate one. We have the speeds so that I can be alerted and can be aware pretty quickly on what's happening and how I can win in my marketplaces or in my with my retailers. And then I can automate some of the actions early enough so that it creates, you know, the the the right impact.



And just to follow-up here because I'm thinking on a very technical side of what you're saying, Selim. Right? So you're going to train your AI on a specific set of data, which means also specific architecture as you said. Like, here's how I see the category. And I guess, like, this is the moment where it seems what you're saying, it's inevitable that the companies need to have a point of view of what my data architecture is, have the internal kind of, like, hierarchies delivered, and then map all the external vendors because usually you have multiple ones coming in onto them, which is something that's not happening right now. Right? There is, like, an approximation of this in this kind of, like, channel equals that on that customer.

Yeah. I would say most manufacturers would have a strong point of view.

Now is the point of view similar between the online and offline? I'm not sure.

And then sometimes manufacturers inherit whatever is imposed to them from vendors. Yeah. And and that's the point I was saying that we spent a lot of time solving early enough because it's very hard. It's not hard because you cannot do it on day one.

It's hard to maintain because the digital world is very dynamic. Every day, you have hundreds of products in in each category, hundreds of products out. So you have to find a way. So like, we started using AI for this specific case ten years ago.

And, you know, on the back end, of course, we developed specific models, and it was very hard. So so but I think it's gonna accelerate more. And and, yeah, the topic you mentioned is is is is very important because without this, you cannot correlate if, you know, different data assets cannot overlay in a seamless way.

And and how do you see it, Boris? Like, also, since we're talking about the manufacturer and you were you happen to work in one. I was gonna ask you, like,

what, yeah, what are the possibilities, maybe even right now, of AI if you have, like, the right data in place?

Yeah. The the interesting part is everybody's always saying AI. It has such a buzzword, but AI is it's so many different layers. I think we all agree you need a strong data foundation, yeah, in order to then build on it.

I think already there, we discuss AI can help when it comes to structuring the data.

Yeah. The opportunities today I see there is when it comes to certain attributes, mapping certain GTINs with maybe ASINs from Amazon. I think there you have powerful tools leveraging AI in order to do the work, yeah, in that case.

I think another use case is, and it's a very simple one, today, you visualize the data in a dashboard. Yeah. You click through it. You have a menu structure.

You wanna know, okay, what's my market share on a certain segment? Yes. Instead of that, you can use kind of a chatbot to ask, okay. Tell me what's the market share in that segment.

And you even have a bit of a generative part in it when you say, okay. Can you visualize it for me? And that's funny. But I think the more sophisticated use of AI is when you build an environment architecture with different layers.

So you have the data layer. Next one is you need certain tools. When I take the example of the digital shelf and we want to understand what to focus on, what's the next best action, yeah, you cannot just put an agent there. First, you need to look into, simply statistics.

What are the elasticities between the different KPIs?

What, does the regression look like? You need a regression model. And once you have this, yeah, this kind of data points, on top of that, you can start adding, agents.

The problem is, like, you you hire a new employee.

You tell him, okay. Analyze me the data. But if you don't give him the context or he is he is not trained on the job, this is what I would call then hallucinating it. It will make something up.

So you need to give a lot of context about the data. So what data to look at, you need to to give a frame. And I think it's just I think, Christine, you mentioned, like, this iceberg visual. Yes.

I think the agent is just the tip of the iceberg. But if you want to have a strong agent, you need to build everything which is beneath the surface with all the different layers. And by the way, that's something which excites me a lot because the opportunities are crazy.

And it will, yeah, it will automate and and move entire processes, even decisions in the future in into the hands of the machines.

So how can we can so, like, I have Go ahead.

I I I was thinking, like ask a question, though.

I was gonna ask a question.

Okay. Go.

Yeah. Yeah. No. I was gonna say that, like, okay. This is all great, but let's let's you know, here on the podcast, we like to tell things as they are. So I was gonna ask you guys if you could tell us any horror stories of, you were mentioning hallucinations, but other horror stories that happen when, you know, bad data management.

So, of course, I do Yeah.

Like, a company story of my own dataset. But Oh, no.

No. But more like what you've seen happen in companies and if it's.

Like, what happens when your data is not in place?

So think of it this way.

As a manufacturer, you don't have limit unlimited resources. You have certain set of people in charge of taking actions, and you have a certain number of hours every day.

And that's not you cannot stretch that. It's like you can keep hiring, but at some point, there's someone from leadership who'll say, stop, and then we go back to the conversation about incrementality.

But what I'm trying to say is if you have an a limited number of units to take actions, you want to point those units to the actions that will deliver more sense.

And, you know, and that's where it becomes very important to have a a good set of data in terms of accuracy, in terms of structure. So accuracy, if you're trying to solve a search problem, an organic search problem, and you have no idea whether this search prob so first of all, are you measuring that search ranking the right way?

If you're not, then, like, you go completely sidetrack because you'll be thinking, okay. Maybe if I optimize my content, it's gonna be captured more by the by the algorithm. And, like and you will be spending days because these projects are heavy, because it has to go to the brand teams and, like, adjusting everything. So you're using units of resource for an action that is not going to deliver any value and sometimes even could destroy value because that product just needed fixing, like, for example, from an availability point of view, which is the ceiling that you, like, you could have of it can be more visible than available.

So so, yeah, I think I've seen a lot of money spent on on retail media for products that were already on the top ranking organically.

Money waste money wasted, basically.

Yeah.

So for me, that's, like, horrible enough to be quoted as an example.

And that's, like, basically because of that. And then, like, the structure, it's the it helps the the correlation topic is immediately to see that your actions are delivering value.

And that's the point where you can start to learn and avoid to, like, spending those units of resources in in the wrong place. So I I don't have, like, a specific, specific example, but that's how I see things. And then I think that's how we should see things because we already have, like, as a as an industry, limited resources from a manufacturer point of view. So you wanna make sure you're doing this. And tomorrow, as we're gonna automate some of these actions, then relying on the data becomes even more important because, like, you're asking an agent to do actions on your behalf, so you're losing a little bit. And that's what happened exactly with retail media when we started automation on, like, decisioning on retail media. We started to trust more the data, and that's where it can go either very right or very wrong.

Yeah. I can even share a story. Like, specific stuff would be, like, giving some software data to AI without more context on exactly where you have low coverage versus the right coverage, and then you're getting some suggestions that are very strong. Like, this needs to be delisted.

And then you don't understand what's happening, and it's just AI does not understand the statistical significance of what it's seeing because you have not provided the whole context. So unless you kind of, like, clean everything up from the beginning in order to be able to feed it into a machine, then you're going to get some kind of, like,

extreme decisions even of your like, your pack architecture or your pricing and whether you even need to have or not have products. And I'm wondering, like, we we're talking about this, let's say, iceberg. Right?

We've touched a little bit on what is the fundamentals. Like, we know the tip is AI. Okay. What's below?

We talked a little bit about accurate data now, Selim. And I guess, like, it's the governance of how how that data gets in, who decides where it's mapped.

How would you kind of, like, describe these foundation layers?

I was I was hoping we go to the governance side. I don't know, Boris, if you wanna go first on this question.

But because I'm not I've never worked within a manufacturer, so I'm I kind of see it from the outside.

And what what I can say is the governance from my perspective is the one which is most underestimated and one of the biggest pitfalls. And, Daniel, you were asking also for some real examples. I think this is related, the governance piece, to one of my biggest failures in the past. Yeah.

When it came to building the data infrastructure, as mentioned, nothing was there, and I was so excited to bring all the data in. So let's add a data source. It was about data first approach. Let's let's get everything we can get and then add some more add some more. And we kept adding data sources, but we didn't take care of the governance enough of the existing data source because things changed. So what happens, you create a super complexity.

You have a lot of data. You have your dashboards, and then you start getting the complaints from the end user because they look at the data, and they keep sending

you messages. Okay. This cannot, be true.

This is wrong. And you look into the data, and you don't have a good, governance process behind. It's also hard to understand what is it. Is it a problem with the data source?

Is it a problem in the system?

So what my biggest so what I'm saying is what what my main learning is not to start with the data because we have more data available than we can use. It start with the application, what kind of insights you want to look at, and then be specific on the data sources. Use those data source and spend enough time on the governance. Make sure that the data source, that the data processing hundred percent works.

Because if you don't, you create things, and you lose the credibility, you lose the buy in of the entire organization, and and then it fails. Yeah. So in our case, we had to kinda reset it and really take a different approach. So more application first rather than, okay.

Let's put all the data we have in in some kind of a data lake and see what we can do.

You remember the I think I shared this on the first webinar, but this is something we've been discussing with Boris for a while. So it's like the the pyramid, I think, like, that we need to reverse in in the industry. So, like, I've seen a lot of projects going like, okay. We're gonna buy some data, then, okay, we're gonna buy the infrastructure to put the data. Then we say, okay. We're gonna hire data scientists to do some models on the data, and then we're gonna hire a Power BI to kind of put the data in in a visual way or an agent from on an AI world.

And then we stand and we say, okay. What do we do with this?

So I think the reverse kind of pyramid where you start by the use case, I'd rather and that's the advice I share with most of, you know, our partners is let's start by listing maybe ten, maybe twenty, maybe thirty applications that we know.

We have the people, we have the time, we have the resources, the ways of working to deliver on a daily, weekly, or whatever frequency we agree on. And from there, we start to build. So this is the use case we're we're trying to solve. And if you start this way, then when you get to the base of the pyramid, which is which data I need to select, then you're gonna have a much clearer mind about the requirement or the minimum viable requirement for that data to solve your use case. And things become so clear, and that's where, like, the method that was described and, like, it inspired a lot of us in the industry is, you know, it's better to start small, effective, be clear, and then deliver and demonstrate the value and then grow and, like, iterate as opposed to, like, try to build, like, that huge machine that everyone dreams of that doesn't exist. And if you do it, you'll end up with kind of a beautiful machine that doesn't deliver value to the organization just simply as that.

And you can always add. So it's much easier as you say. You create something, get people excited, and then you all you you easily get the comps. Hey.

It wouldn't be great if we can look at that as well. And then, yes, you add another data source, and then you build. So it's kind of an iteration. You build something really, really nice, which is working rather than having something, which sounds incredible that doesn't as you say, Saneem, doesn't deliver anything.

And I was I was gonna say, like, we talked about, like, the quality of the data and how do you and especially when it comes again back to commerce data, how can you work with that in, like, with the commerce data without, like, digital shelf standards?

So the the I'll start if if that's okay.



Yeah. So so there are no standards in the industry today. But, like, you know, the way we try to look at things is is, okay, what is the use what is the actionability point, and is the standard answering that? And and you think of like, if I pick search, for example, if you're tracking search in an omnichannel world, it has to be through all locations because search rank differs between different locations.

If you wanna capture the variation throughout the day, it has to be multiple times a day as much as possible. And there's probably a number of what is the minimum number of times a day to capture the the the freak the frequent or the changes intraday.

And then, you know, to make it actionable, I have to know against who I'm winning or losing. So I have to have my competitors' data well identified in terms of brands and SKUs and, like, products.

And I have to understand also what brought them up the chain. Was it their content? Was it, like, paid? Was it they were better distributed, or was it another factor? So, you know, when you start to really think by the use case, then the standard becomes really clear.

And you start to understand, like, okay. If I don't know against who like, if we have a vague idea on who I'm winning or losing against in my search, like, maybe I know the brands, maybe not even, how can I action? Like, how can I start to understand, like, who of my competitors are doing a better job? How can I get inspired by what they're doing? How do I build a plan to compete?

That's the the like, I think the standards become a response to what you're trying to achieve as actions in in your daily daily work.

Right. We have by the way, we have some I think we'll do some recommendations for brand now Brent now, and then we have some questions from the audience, so we'll

cover them as well just just to let people know.

So perhaps, yeah, you guys could give it like, what would be your top three recommendations for brands when it comes to data and commerce data specifically in data management?

Okay. Boris, do you wanna go first?

Yes. I can go first. So I think, first of all, you need to build a strong partnership between the business and also the data teams.

Yeah. This is one of my biggest learning. It can't be one or the other. You need to team up, and you need to also build the capability that the people managing the data have a certain understanding what's happening with the data, what's the actions being driven.

And people from business need to understand, okay, what does it really take, yeah, to structure the data? Why does it take time? Why does it take effort? That's that's the foundation, I think.

The next one would be we talked about it. You you need to have the data in one place. You need to have a data lake. You don't need to have all the data in there from the beginning, but you need to build the infrastructure and, feed in the data you need for your use cases.

And I think my my third recommendation for for a brand would then be I mentioned already with the data that you start with use case, but my other one would be I'm in a global role, but it doesn't make from my experience that much sense to build all the dashboards, the analytics, everything for, the local markets. Yeah? It's good to provide the data in a easy and convenient way. It's also good to have certain high level views. But in the end, it's about empowering the markets in an easy way to make use of the data.

Because there is no one fits all, and we tried it in the past. I trying to trade, like, the one fits all solution to look at the data. It's not possible. You need certain standards, a bit of a framework, high level, but then markets know best what matters. And for them, it's a huge help if you give them easy access to the data. So it's it's a bit of the democratizing the data in the organization.

Yeah. So huge like, I would repeat a lot of what you said, Boris, because I agree. I would just add maybe one or two points.

For me, education is a huge topic, which embeds a little bit in your point number two.

But the education and, like, you talked about the partnership with the the data the data teams. For me, it's education across the board within the the organization. So I think, first of all, education to, like, high up because, like, we need to be transparent about what it is and why where it's not perfect and why it's not perfect and why we can still make decisions when sometimes it's not perfect. I think also there is an education bit on across different verticals in the business.

So I know, and we've worked on some projects like this, that some very interesting datasets that could enhance or magnify whatever e com is trying to do, it can happen if, like, you bring the two together. So, obviously, like, margins, supply some supply chain data, like, market, like, generic market data, and and and there is a lot that can be done. But I think that can only happen if people are educated of what what we're trying to achieve and what are the, like, overall results for the organization.

So, yeah, it's like for me, it's the data is an enabler, but the real objective that we're trying to do is collaboration. Collaboration internally and collaboration externally with the retailer. So and collaboration comes with education. Like, this is what I'm trying to do.

This is what I have. This is what I need from you, like, external or internal, and this is where we wanna go. So, yeah, would add for me, that's that's a very critical point. The other one would be to it's okay to start small and iterate.

It's very okay.

And and I know, like, this might be counterintuitive to a lot of people because they see what others are doing, and they oh, I wanna get there immediately. No. I think it's okay to kind of look at where you are today and say, okay. So what's the next step? So I can have a vision for in twelve months or eighteen months, and, you know, that are, like, maybe ten steps to get to that vision, and I'm gonna take those steps one by one and iterate each time so that I'm I'm going there. And this is, like, for me, a very important topic of vision does not necessarily equal, like, I have to do it today.

It's like, how what are the building blocks? And that's, like, the baby steps kind of theory or ways of progressing.

Well And that's a really good pass, right, for one of the questions that we have here.

Yeah. Yeah. One of the questions which from Sneha, she's asking, how do you manage leadership expectation for speed in delivering use cases versus designing for structured data?

I can go. Do you want me to go?

Yeah. You can go first, John.

So, of course, I'm outsider. So we help those conversations, actually. Like, in the last two years, I would say, those conversations became more and more important to because, obviously, e comm became bigger and important source of growth. So, you know, some of our enterprise, they say, okay. I'm struggling to kind of make people understand what we're trying to do.

And I think it's going back to what Boris said at the very beginning. We try to use the same language as offline, which is well understood.

We try not to make it too complex.

But, yeah, I think it goes back. I think it's Jeff Bezos who said, like, as soon as I reach a certain level of accuracy, I feel it's okay to make decisions based on that as opposed to spend my life waiting for the hundred percent accuracy, which will never happen, and then make no decision. So it's really getting to that level of, like, how do I get confident that I am accurate, good enough, and, you know, perfection is not reached yet. We are going there.

We're here today, so we're not gonna stay here forever. But where we are today is enough to make decisions and kind of progress and make actions and, like, keep the leadership updated on where why we are going to like, where we are going and, like, what we are going to unlock as we go there as new capabilities or new new activations and so on and so forth. So, yeah, it's not the simple answer, but I think it's about, like, being transparent on the direction, being transparent with what we have, being transparent with the actions, being transparent on the results, proven ROI or whatever is done.

That's our, in my point of view, languages that leadership listens to.

Shall we do this? Yeah. Just to add one thing, it's it's don't fake anything. I mean, if if you have the data, be be transparent as you mentioned.

You have what you have, and you need to base the decisions on those kind of data points. Yeah. It's the best you can get. I think the mistake would be, like, pretending you have something you don't Because it will it will come back.

You will make the wrong things and people would question, so that would be my build.

So we do the and the next one I have here, one from Troy, my friend Troy Townsend from Zitcher, who's asking, how are you normalizing the output of the data across the silo silos of media, merchandise, and marketing to make it valuable?

It's it's it's difficult. And I to be honest, we have not.

It's too much. We we have not harmonized all data from all those different parts. I mean, I could go on. Do how do you harmonize it?

R and d. How do you harmonize it with the supply? Yeah. It goes goes on.

You go step by step. As Sam said, it goes step by step. So in our case, for instance, a data point we are using a lot on the digital commerce, digital service, ratings, reviews. Yeah.

So now also the r and d is using this data source for product development, formula development. So but we we took it from a use case perspective. Yeah. So how can we develop better products?

Okay. There's a great data source with on the right thing here, so we start connecting. And are we there then? No.

It's it's a long journey. But go by the use case where to have the most impact, and then step by step, we are connecting.

Fully aligned.

Yeah. Oops. So so shall we do look. I I just so we can I can actually bring up the questions here? That's cool.

So This is very nice.

Yeah. Yeah. So from my day, who's actually from supply chain, if we'd only known this before, she says, there's always trade offs to competition collaboration. How in the ecommerce space do you think manufacturers and retailers should compete as they innovate to go ahead? And how and how should they collaborate within an industry to minimize complexity and cost for the end consumer? I know this question is obviously covering more than data, but I don't know if you have any any final thoughts on this.

Silence in the room.

It's a it's a broad question.

It's a very broad question that taps into, like we should create another webinar about It would be a good one.

I mean, the the the the narrative or the the constant clash between retailers and brands would be a fascinating topic to talk about.

Yes. I but I let I can try to to answer a little bit from from my perspective. I think what I've always appreciated in digital commerce much more than before is that we are very collaborative in the industry itself when you go to events or something. I exchange a lot with peers also with contacts from the trade.

Okay. How can we do it better? How can we bring down the supply cost? So what's needed?

So what are the requirements for packaging for the product? What's a good consumer experience? Because we're all trying to achieve the the same thing. Yes.

There's a certain level of competition as well. So this you need to balance.

But in the end, specifically, when you're in a relationship like a brand and retailer, co creation can be very powerful and looking into it. I remember with one of the trade

partners, we really looked into the logistics. So where are additional costs appearing and where do we create consumer frustration? And it was a lot related to the packaging topic that you had leakage on bottles.

So it had to be additionally prepped in certain warehouses. So by coming together and looking at the end to end supply chain, we found good solutions. It was a win win win because on the manufacturing side, we were saving money. On the trade side, we were saving money, and we had a better much better experience for the consumer in the end. So I think definitely it's worth looking into partnering.

We can say that the fact that in ecommerce, no one has really figured it all out is an advantage for the business because then it can give you new outlets of collaboration with retailers.

Exactly.

Yeah. Well, look. A good advice for brands as well. And if they want to, like, unlock and improve the the relationship with retailers, why not go to to the ecommerce teams and maybe start there?

Great, guys. Well, thanks so much. By the way, remind the people that are connected that if they want to if they've enjoyed this, which I'm sure you have, you can using the same link of the event on LinkedIn, you can rewatch it later and as many times you like. And this will come out also as a audio and video podcast next Wednesday.

So thanks lot, guys.

Thank you, guys. Good conversation.

Thank you very much. Great.

Thank you everyone for tuning in, and see you soon. Bye bye. Bye. Cool.